Decision Memo — Albertsons Companies, Inc. (NYSE: ACI)

To: Fund Investment Committee (no current position) **From:** Max Puntillo, AI task-force analyst **As of:** October 19, 2026 · bridge balance sheet Sept 12, 2026 · price $13.09 (close Oct 16, 2026) · USD *AI-assisted coursework (FIN 43900, Purdue). Education, not investment advice. AI use is named in* `Validation-and-AI-Use.pdf`.

Decision and committee ask

Watch/defer. Do not commit capital now. Valuation range **$13–$19 per share** (base **$17.89**), against a price of $13.09. The base case sits above the price only because it assumes ACI's cost ratio improves. The market is pricing no improvement, and ACI has just withdrawn guidance. **Ask:** approve watch/defer, place ACI on the monitoring list, and revisit at Q3 FY2026 results and the Q4 FY2026 turnaround plan.

Evidence and as-of date

- **Operations are weakening.** Identical sales excluding fuel fell 0.8% in both Q1 and Q2 FY2026; Q2 adjusted EBITDA was $784.0m (4.1% of sales, down from 4.5%) and net income $51.5m. On Oct 13, 2026 ACI withdrew FY2026 guidance pending a comprehensive business review, with a turnaround plan due by the Q4 FY2026 call. (Q2 FY2026 earnings release, Form 8-K, Oct 13, 2026.)
- **The value depends on cost discipline.** A five-year three-statement pro-forma drives an FCFF DCF (WACC 7.7%, terminal growth 2.0%). Long-run SG&A as a share of gross profit is the dominant driver: each 0.5 percentage point moves value about $2.60 per share. Base assumes 94.0% in FY2026 falling to 93.0% by FY2030.
- **The market is pricing no recovery.** A reverse DCF at $13.09 implies a FY2030 SG&A/gross-profit ratio of **93.9%**, essentially this year's 94.0%. Holding 94.0% flat gives **$12.69**, below the price.
- **Bridge (Sept 12, 2026):** EV $18,553m − debt incl. finance leases $9,328.2m − opioid settlement obligation $773.8m (10-K Note 12) + cash $282.0m = equity $8,733m ÷ 488.2m diluted shares = **$17.89**.

Methods disagree, and why (not averaged)

Method	Per share	Why it differs
FCFF DCF from pro-forma (low / base / high)	$7.92 / $17.89 / $24.74	Forward, normalized; hinges on SG&A/GP and WACC
Peer EV/EBITDA (Kroger 6.3x, Sprouts 7.0x; ACI 4.3x)	$25.66–$30.06	Applies peers' multiples to ACI's *trailing* EBITDA, which is falling; leverage turns each 1.0x gap into ≈$7/share
Peer P/E (Lab 08, Sept 10)	$5.44–$14.77	FY2025 GAAP EPS ($0.40) depressed by the $773.8m opioid charge

The EV/EBITDA gap is itself the market's verdict: it discounts ACI's EBITDA because it is declining. The 2022 Kroger merger price ($34.10, blocked Dec 2024) is excluded as stale control-and-synergy evidence.

Material assumptions and sensitivities

- Revenue normalized to 52 weeks (−$1,360m 53rd week); FY2026 growth −0.5%, then 1.5%. Gross margin 26.8%→27.0%.
- WACC 7.7% (risk-free 5.10%, grocery unlevered beta 0.85 relevered to 1.78, after-tax debt 4.4%). The provider's raw beta (0.23) is rejected: 2022–24 merger-arbitrage pricing pinned the stock.
- WACC 7.2–8.2% and terminal growth 1.5–2.5% give $12.62–$25.39; terminal value is 79.7% of EV.
- Ranking depends on ranges: on historical bands SG&A/GP leads; with narrow bands WACC leads.

Principal risks, failure conditions and monitoring triggers

Trigger (owner: analyst; checked at each quarterly filing)	Action
Initiate only if: the Q4 FY2026 turnaround plan quantifies cost savings **and** two consecutive quarters show identical sales ≥ 0% with adjusted EBITDA margin ≥ 4.3%, **and** price ≤ $15	Bring back for initiation
Do not initiate if: Q3 FY2026 identical sales below −1.0% **or** adjusted EBITDA margin below 4.0%	Move to do-not-initiate
Leverage: company-reported net debt ratio (2.42 at Q2, up from 2.02) above 2.75	Move to do-not-initiate
Opioid framework cost above $773.8m, or new litigation charges	Re-run bridge

Next review: Q3 FY2026 results (expected January 2027), then the Q4 call and the spring 2027 investor day. New directors (four since Sept 30, 2026) are watched for how they shape the plan; filings give no reason, so no activism is assumed.

Action requested and next review point

Approve **watch/defer** at a $13–$19 range, no capital now, revisit on the triggers above. Sources, tests, the Locked Changed-Input Record and the named AI-use register are in `Validation-and-AI-Use.pdf`; all figures trace to `outputs/report.md` in the repository.